DECENTRALIZED BUSINESS MODELS



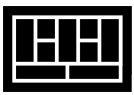
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SUPER GUIDE:

DECENTRALIZED BUSINESS MODELS

BY DANIEL PEREIRA



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Daniel Pereira
The Business Model Analyst Ottawa, ON, Canada
businessmodelanalyst.com

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ISBN: 978-1-998892-25-9

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INTRODUCTION

Due to its capacity to minimize transaction costs, foster trust across distributed networks, and facilitate decentralized platforms, blockchain technology has the potential to provide a new foundation for decentralized business models. The features of blockchain's distributed ledger are enabling the development of new sorts of business models that are decentralized, creative, interoperable, borderless, and transparent. There's a possibility that decentralized business models made feasible by blockchain technology may enhance financial inclusion, open up access to information, encourage permissionless innovation, and create new opportunities for entrepreneurial and creative ideas.

Decentralized business models, a novel use of blockchain technology, have the potential to transform the structure of contemporary corporations and open up fresh opportunities for innovation and entrepreneurship, while highlighting both their benefits and drawbacks.

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WHAT IS DECENTRALIZATION?

Decentralization refers to a management style in which power and authority are distributed around an organization instead of being concentrated at the top. Middle and lower-level employees are left to make day-to-day decisions that affect them. This leaves company executives with more time to devote to making important choices. In order to keep operations running smoothly, many companies have come to consider decentralization a necessity.

Management decentralization can be thought of as the systematic allocation of authority among the different layers of leadership that exist within a company. It outlines the structure of an organization's decision-making power and how that authority is divided throughout the various departments and management levels of the business. The term is used to describe the practice of devolving authority and transferring responsibilities to many departments or agencies.

BENEFITS OF DECENTRALIZATION

Quick decision-making
By delegating decision-making power to the operational level, decisions that are most directly relevant to the operation may be made in a way that is both more expeditious and productive.

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Executive development
The act of delegating responsibility to lower levels compels those persons to rely on their own judgment, which in turn promotes a feeling of independence and self-assurance in the employees. Because of the high degree of delegation, the executives are kept on their toes, and they are required to constantly problem-solve in order to ensure that the organization continues to function effectively.

Development of managerial skills
A decentralized organizational structure allows for lower-level workers to be given greater responsibility and autonomy, which is one of the many advantages of having such a system. When individuals who have shown their value are promoted, a pool of qualified workers is created. These workers may then be allocated to more demanding tasks, which assist in developing growth and accountability.

Relieves top management
It decreases the need for the superior to keep a close check on their subordinates by providing those subordinates with greater autonomy to make choices and take action within certain parameters. This allows the superior to spend less time monitoring their subordinates. Because of this, upper-level management now has more time at their disposal with which to make strategic decisions.

Facilitates growth
It provides managers at lower levels with greater leeway to choose how to get things done within their own departments or divisions in the most effective manner possible. It encourages every department to compete with one another to achieve the highest level of success in the organization. Because of this, productivity rises, which will lead to increased profitability for the company.

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Better control

It allows each employee tier's performance to be tracked, further ensuring that each division's output is scrutinized independently. A measurement of how well the corporation as a whole performs and how significantly each division contributes can then be made.

Effective communication

The organization's communication system will improve as a result of decentralization. In addition to this, it helps to strengthen the relationship between superiors and subordinates. Decentralization is beneficial to certain executives at the middle and lower levels because it gives them the experience of working in the real world and boosts their morale.

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WHAT IS CENTRALIZATION?

When the responsibility for planning and decision-making within an organization is given to a single person or a single location, these functions are referred to as being "centralized.". The power of a centralized organization lies only with the organization's headquarters; all of the subsidiary branches take their cues from the headquarters. The company's CEOs and other professionals who make important decisions are based at the headquarters.

To a similar extent, under a centralized government structure, all decisions are taken at the highest possible level, and all lower levels are tasked with doing nothing more than carrying out the instructions given by that level.

Because of their limited resources and workforce, small businesses need to centralize their management.

ADVANTAGES OF CENTRALIZATION

Some businesses have chosen to centralize their organizational structure in order to take advantage of the following benefits.

A clear chain of command
When personnel in a centralized company are aware of precisely who they should be reporting to, they are capable of carrying out their jobs more effectively. When questions or

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issues arise, staff members at all levels are aware of whom to contact for assistance.

Executives adopt a clear strategy that consists of delegating authority to staff members that thrive in certain areas of expertise. When they delegate work to lower-level managers and personnel, they have the assurance that there will not be any unnecessary duplication of work and effort. It is useful to have a clear chain of command in situations when decisions need to be executed quickly and in a manner that is coherent.

Focused vision

The capacity of a business to accomplish its goals and achieve its vision is significantly aided by the use of a management structure that is centralized. The top executive has the capacity to communicate the vision of the firm to the personnel effectively and guide them in the right direction.

Due to the absence of centralized management, there will be discrepancies in the way in which messages are communicated to employees since there are no clear lines of authority. If the senior leadership of an organization is responsible for directing the organization's vision, then the organization's goals and plans will be carried out without any hitches. Everyone who is important to the organization, including customers, vendors, and communities, is informed of the same thing.

Reduced costs

A centralized organization follows defined principles and procedures that regulate the corporation, saving money on office and management overhead. Because the most essential decision-makers are situated at the company's main office, the headquarters, and other branches do not need extra departments and equipment.

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Because key decisions are made at a centralized location and are then communicated to the branches, the firm does not need to employ the services of specialists at the branches themselves, which results in cost savings. The clear delineation of the chain of command helps reduce the amount of needless duplication of effort, which in turn helps save expenses.

Quick implementation of decisions

Centralized organizations have a small group of persons who are responsible for making decisions and communicating those decisions to the rest of the management. As a result of this, choices may be reached more rapidly since there are just a few people engaged, and they are able to discuss all of the nuances of problems at a single meeting.

After the decisions have been taken, they are communicated to other divisions of the firm so that they may be implemented. If both middle and lower management are involved in the decision-making process, it will not only take more time, but will also lead to more conflicts. There is a possibility that certain managers may disagree with the decisions, which would make the process of implementation more drawn out and difficult.

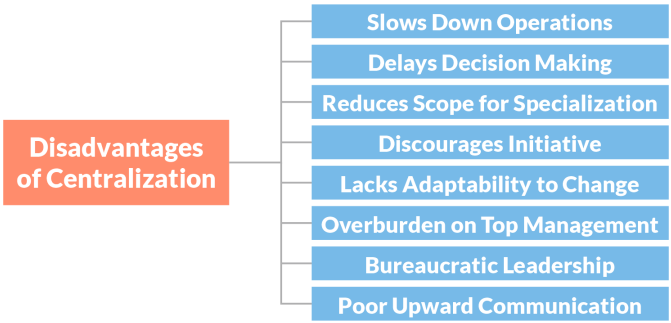
Improved quality of work

A centralized organization has the advantage of strict guidelines and increased levels of oversight, both of which contribute to better work quality. A manager is assigned to each division to ensure that the job is carried out consistently and to continuously maintain a high level of quality.

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DISADVANTAGES OF CENTRALIZATION

There are many different kinds of corporate organizations, and centralization is not appropriate for all of them. This is due to the fact that centralization carries with it a number of intrinsic drawbacks, which are listed below.



Bureaucratic leadership

Because employees under centralized management are completely accountable for accomplishing the duties that are allocated to them by the company's senior management, this kind of management is somewhat comparable to a totalitarian approach to leadership. Employees are not allowed to participate in the decision-making process of the business, and are instead implementers of top-down directives.

Because they are only accountable for making decisions and not carrying them out, executives will not understand when employees struggle to put those decisions into effect.

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Workers lose interest in carrying out the dictates of upper-level supervisors since those supervisors did not care to obtain their opinion, and as a result, performance will suffer.

Remote control

Executives are always tasked with making important decisions for their companies, but they have very little say in how those decisions are carried out. When they fail to delegate responsibility appropriately, they end up with extra duties.

Executives do not have enough time to adequately supervise the implementation of their decisions. As a result, workers are more likely to be unwilling to take part. As a consequence of this, chief executive officers run the danger of making lots of decisions that are either carried out improperly or ignored by workers.

Delays in work

Productivity suffers if everything needs to be sent to and from a single central location. The members of the staff are reliant on management for updates, and any lag in the delivery of this update leads to a waste of both staff members' time and effort. When employees are made to wait too long between tasks without being given any guidance, their productivity decreases.

Lack of employee loyalty

When employees are given more responsibility at work, they tend to have a greater investment in the success of the organization as a whole. They could come up with novel concepts and suggest other, more effective approaches to completing tasks. However, in a workplace that is highly centralized, people have very limited opportunities to take the initiative since they are obligated to implement the ideas of higher-level management. Their commitment and loyalty to

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the organization suffer as a result of the monotony of their work, which also inhibits their capacity to think creatively and logically outside of the box.

CENTRALIZATION AND DECENTRALIZATION

To better understand centralization and decentralization, examine the following:

- Centralization refers to the practice of bestowing most of the decision-making and power in an organization to members of top management. On the other hand, decentralization, which refers to the process of handing down decision-making power to more junior levels of management, has the exact opposite effect.
- The act of concentrating authority on a small number of people or organizations is referred to as centralization. However, decentralization refers to the intentional distribution of authority among many locations within an organization. When it comes to efficiency, centralized management is better for a small business, whereas decentralized management is preferable for a huge corporation.
- Formal lines of communication may be formed in a system that is organized in a hierarchical fashion. However, decentralization results in information being dispersed in a variety of different places.
- Under a centralized system, the amount of time it takes to make decisions is increased because all

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bodies are reliant on the judgments made by a single authority. It has been proven, however, that decentralization is more effective when decisions are taken in close proximity to the place where they will be carried out.

- When activities are coordinated via a centralized organization, there is only a single point of contact and one set of directions to follow. Decentralization results in the distribution of leadership tasks among a wider group of people.

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HISTORY OF DECENTRALIZATION IN BUSINESS

To the best of our knowledge, the year 2020 will mark the pivotal turning point that fundamentally alters the trajectory of the commercial world. The year 1920, which was yet another year marked by political upheaval and economic stagnation, was not an exception. Around the turn of the century, the beginning of a long period of economic prosperity in the United States sparked the emergence of enormous, nationally-based firms that significantly depended on foreign capital and took advantage of their size to increase efficiency.

These corporations were able to do so because of the sustained period of economic expansion that began at the turn of the century. There was a considerable amount of time spent wondering whether these firms were doing anything wrong legally or not.

The United States Steel Corporation v. the United States of America was before the Supreme Court in 1920, and the court ruled that large businesses do not have to be broken up as long as they do not restrict competition. However, as soon as one barrier was overcome, another developed in the form of gigantic corporations that grew to be unmanageable in their current state, given the challenging economic environment.

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Consider the history of DuPont as an example. Its workforce increased from 5,300 in 1914 to 85,000 in 1918, and its market capitalization increased from $86 million to $310 million during the same time period. DuPont is currently a significant manufacturer of chemicals, dyes, paints, and synthetic textiles, but it got its start in the explosives sector. The organizational structure of the company has remained substantially unaltered despite the growing complexity of the company's operations. It became increasingly challenging to properly operate all of its operations at the same time.

Pierre du Pont has in the past developed intricate ways of reporting and accounting in order to more precisely identify the cause of the problems. In 1920, he began formulating the framework for his decentralized administrative system. It was the intention of top-level management to stop micromanaging day-to-day operations and instead direct their attention to long-term strategic planning.

Instead, DuPont's data would be used to monitor the company's overall performance, and strategic objectives would be developed with the help of the information that was being gathered. In addition, the plan called for the development of a number of administrative divisions, each of which would be responsible for the acquisition, production, and distribution of a certain line of products.

The fact that General Motors, and not DuPont, was the company that pioneered the implementation of the plan is only a coincidental occurrence. The arms manufacturer was flush with cash at the beginning of the 20th century, and it found an appropriate home for a significant portion of its assets in the vehicle company that had been formed by William Durant in the 1910s.

Over the course of his career, Durant amalgamated many competing automakers and even some manufacturers of

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consumer products under the General Motors umbrella. The Durant cluster was already in a vulnerable situation by the time the economic crisis that happened in the middle of the 1920s began. After Durant was fired in the fall of that year, Pierre du Pont took over the company and, with the assistance of Alfred Sloane, a wonderful manager whom Durant had neglected, began the process of developing a decentralized management structure. Even though it took almost three years for decentralization to gain traction, in the end, it was beneficial for General Motors and helped them surpass Ford.

Although not all companies are able to reap the benefits of decentralization, in the decades that followed, almost every diverse and the capital-intensive organization began implementing it. This was accomplished by DuPont in 1921, Westinghouse in 1934, International Harvester in 1943, and General Electric in 1950. The significance of this pivotal moment in the history of corporations may be felt even in the present day, despite the fact that developments in markets, technology, and legislation would eventually expose the shortcomings of decentralized administration.

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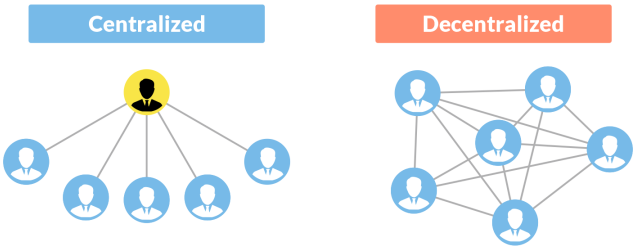
DECENTRALIZED BUSINESS MODEL

This refers to the practice in business wherein upper-level management hands over responsibility for day-to-day operations and decision-making to their subordinates at the managerial and team levels. When an organization is decentralized, its senior executives have more time and resources at their disposal to dedicate to strategic initiatives and crucial decisions.

Extreme types of decentralization increase the number of people who may participate in decision-making, while more conventional types often continue to utilize restrictive frameworks that include checks and balances. Delegating authority and responsibility to those who are best suited to make decisions because they are in more frequent touch with stakeholders and have access to more current information is the core tenet of a decentralized business model.

For instance, a banker who often handles client orders for debit cards is likely to be the first to identify difficulties with the cards, even before higher-ranking members of management become aware of the issue. If a customer is having issues with their debit card, they do not have to be pushed to higher-level management; rather, they may get quick assistance using the tools and information that are readily available to middle-level and lower-level management.

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CENTRALIZED VS. DECENTRALIZED BUSINESS MODELS

Organizational and business structures with centralized administration have been the norm for a very long time. The adoption of decentralized versions, however, has lagged behind and has only recently started to be adopted due to the advancement of technology and the ease of dissemination of information.

Decision-making and the dissemination of those decisions across enterprises is where the two models deviate substantially from one another. Both the methods for storing and disseminating information as well as the ways in which revenue is generated need to be completely reformed.

Decentralized organizations and the underlying principles that underpin blockchain technology are not ground-breaking innovations. The prevalence of the use of decentralization is growing because of both of these factors. First, decentralization is becoming more and more necessary. Second, technological improvements have led to the creation

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of infrastructure that can support it.

CENTRALIZED VS DECENTRALIZED MANUFACTURING

Centralized Manufacturing
Taking advantage of economies of scale and producing a large number of goods with the same equipment may help a single centralized factory significantly reduce the amount of money spent on manufacturing each individual unit.

According to a study that was carried out by APQC (American Productivity & Quality Center), the costs of production incurred by centralized companies are around 3% lower than those incurred by decentralized firms. That amounts to a loss of $60 million for the year for a business that brings in $2 billion annually. According to the results of APQC, centralized manufacturing is associated with higher raw material inventory turn rates (rate of use and replacement cycle for raw materials) as well as more efficient production schedules.

Some of the extra advantages that may come from centralizing manufacturing are improved projections, more local employment, consistent output, and effective use of limited resources. Additionally, there is a possibility that the prices of the raw materials will go down if a central manufacturing facility is located in close proximity to a source of raw materials for those commodities.

However, because of the significant cost involved in customizing products, centralized manufacturing tends to be fairly rigid. In the event that a product has to be modified, for example, the whole system will need to be reconfigured, which is a process that is both time-consuming and costly.

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Also, if a company decides to maintain its principal facility in a country or region where wages are increasing, this might result in high labor expenses for the company.

Decentralized Manufacturing

Manufacturing facilities that are decentralized over a wide area provide a variety of benefits when compared with those that are concentrated in a central location. This includes the opportunity to take advantage of closer proximity to the company's customer base, in addition to other benefits, such as higher employee and manager morale, greater adaptability, faster access to information in real-time, higher quality data, and lower labor costs in a number of different regions.

Being located close to one's clients makes it easier to adjust one's services to meet the ever-evolving needs of the market. When you have more decentralized production facilities, the experience you offer customers will become more tailored to their preferences. With decentralized manufacturing, a company is able to zero in on the manufacturing of those products that are most successful in a particular region.

Being flexible brings with it a host of extra advantages. For example, in a centralized corporate office, if two workers need to speak with one another, they will have to go through a series of channels. However, decentralization makes it possible for this communication to take place more quickly.

Not only are employees more engaged in making choices under a decentralized production model, but they also have the ability to correct problems as they emerge without having to wait for authorization from higher-ups in the organization. According to research conducted at Harvard University, decentralized production increases employee engagement and creativity levels by giving lower-level managers higher levels of responsibility. When lower-level management feels a

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sense of ownership over the company, it rubs off on the workers in both the production and support divisions, elevating worker performance across the board.

A company can choose to decentralize its operations in order to improve the quality of service it provides to its clientele as it expands into new markets. For example, American Nutrition, a major pet food company, started out with a single facility in Utah but has since expanded to four facilities in Arizona, Washington, and Pennsylvania, in order to meet the demand of the market.

Decentralized manufacturing, although offering a number of advantages, is not without its share of problems. The initial investment required to establish multiple sites is greater than that required to establish a single, centralized facility for production. Additionally, the cost per unit is greater than that required for mass-produced goods manufactured in a single facility, and it is more difficult to ensure uniformity in practices and products across the entire business. Also, businesses that make highly specialized goods for local distribution may find that decentralized manufacturing is not the optimal choice for their operations.

RISE OF DECENTRALIZATION 2.0

Users have lost faith in both the system and each other due to the inadequacies of centralized peer-to-peer (P2P) networks. However, if contemporary technology is shown to be reliable and risk-free, people may once again put their confidence in decentralized systems. The new approaches, which help to make interaction on a local level easier, are aiding in the development of a society that values equitable treatment of its members and respect for one another.

A P2P service known as Arcade City was established by a

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group of Austin, Texas, residents on Facebook when the city of Austin placed restrictions on the operations of Uber. Blockchain technology is used by the service's drivers to organize themselves into groups that can more effectively recommend consumers to one another and collaborate.

LoveHomeSwap and Knock are just two of the numerous new peer-to-peer (P2P) home exchange services that have emerged throughout the globe in recent years to compete with Airbnb. Many people are turning to companies such as HomeExchange in order to swap houses with other people who will be in their city at the same time as they will be gone. This allows them to reduce the amount of money they spend on accommodation.

We are really on the cusp of full decentralization. Soon, this will be common practice in many different industries, including government bureaucracy, the financial sector, the real estate industry, the insurance sector, the transportation sector, and other industries, and blockchain technology will be largely responsible for making this possible.

It is not the objective of this move to decentralization to do away with centralized structures; rather, it is to create new links between those that already exist. Decentralization 2.0 is beneficial for all parties involved, since it preserves the advantages of conventional platforms while simultaneously lowering dependency on intermediaries.

If the major objective of your firm is to facilitate communication and interaction between people, you may want to think about making use of decentralized services. Because there is a growing need for decentralization in today's society, startups that are based on these platforms will be able to compete successfully with companies such as Uber and Airbnb.

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HOW DECENTRALIZATION IS CREATING NEW BUSINESS MODELS

The rise of the sharing economy

The so-called "sharing economy", which includes companies such as Airbnb, Uber, and others, has been the subject of a great deal of debate and literature in recent years. But over time, pessimism about the potential for these new businesses to disrupt established industries has been steadily supplanted by worries about appalling labor practices and monopolies.

Airbnb, for example, has enabled individuals all over the world to rent out their spare rooms or perhaps even their entire home. It's difficult to remember a period before Airbnb, but without them, individuals couldn't compete in the enormous vacation rental sector without paying a lot of money for customer awareness to a middleman.

Through the use of the internet and mobile devices, such as smartphones, it is now possible for anybody to rent out a spare room or apartment in their home to tourists from all over the world, with Airbnb taking a cut of the revenue.

The fact that the Airbnb business suffers from a number of disadvantages should come as no surprise to anybody. The proprietors of hotels in cities like Berlin, as well as residents of such cities, have raised their voices in protest against the threat that is posed to their businesses and the harm that is caused to the ecosystem in those areas. Sadly, the centrally controlled quasi-sharing business models like Airbnb and Uber have a significant fault, which is that they have an excessive amount of influence over the online identities of customers.

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When it comes to running online businesses, the most precious asset we have at our disposal is our social capital. However, if your reputation is under the control of a company whose priorities might not coincide with yours, it might be difficult to ensure that it accurately reflects the services you provide and that you are adequately compensated for those services as well as the implicit social capital you have built up.

Trust in a decentralized network

In its most basic form, a decentralized network enables participation from any location in the world by requiring each participant to have their own copy of the transaction ledger. In essence, authorization is not necessary in any way. This concept is absolutely ideal for public blockchains such as Bitcoin and Ethereum. The code is available for download by anybody who has access to the internet, and the widespread diffusion of this authoritative source makes it extremely challenging for malicious actors to change the information contained in the distributed ledger.

Even if the ledger records financial transactions between individuals or between organizations, or if the records on the blockchain are rather abstract, such as the record of a day's weather, this concept of universal ease of access and openness is at the root of this new trustless economy.

Every day, we place our confidence in the abilities of other people to assist us in navigating many facets of our lives. We trust that other drivers will drive their vehicles responsibly and that our physicians will be capable of providing us with good medical care. But the growing population of the world has brought up a severe problem with this dependency on trustworthy relationships between people. Nowadays, we do not do business with one another in person; rather, we often have to engage in some form of transaction with any one of the seven billion other people on earth.

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The groundbreaking White Paper for Bitcoin, which was released in the latter part of 2008, explained a process for transferring cash without each side being required to prove the identity of the other. It also demonstrated that individuals may be motivated to work together for the common good via the use of mathematics, even in the absence of any kind of government or centralized supervision.

There is no centralized authority that presides over the Bitcoin network that dictates how many validating machines should be online at any given time or which businesses should invest in additional hardware or cloud services in order to take part in the network. Rather, the volatile price of Bitcoin coupled with the difficulty level will decide the incentive that network members will earn for confirming transactions and making sure that multiple copies of the ledger exist, therefore safeguarding it for all users. The effort put in by each member of the network will determine their share of this reward. This will ensure that everyone in the network is compensated fairly for their efforts.

Since its inception in 2009, Bitcoin has been put to use as a comprehensive research platform to demonstrate the viability of a globally integrated, decentralized network that is based exclusively on the principles of economics and mathematics.

Tokens and cryptocurrencies

As a result of the widespread adoption of Bitcoin, it became apparent that cryptographic tokens might be used to convey more than just monetary value between individuals. Take into consideration the fact that, similar to Bitcoin, these blockchain tokens may be sold but cannot be duplicated; a single person can only hold ownership of each or a fraction of them at any one point. The rapid price rises that have been seen while trading tokens like Ethereum have garnered a lot of attention from the media, but this is really one of the least exciting

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elements of these currencies.

Some blockchains offer tokens that are digital versions of real things, like gold or shares in a company. However, the blockchains that offer utility tokens may be the ones that usher in a new era.

The question now is, what exactly are we going to accomplish with these tokens? This simply means that the token may be traded for a single instance of the given service. This is equivalent to the cost of obtaining AWS API keys. In any event, if you have an Amazon Web Services (AWS) account, you have access to Amazon's cloud computing capabilities; hence, the analogy is not wholly wrong. You are responsible for safeguarding your secret key to prevent unauthorized users from accessing your invoiced services.

Your tokens are much like the AWS API key: If someone else has access to your private key for your wallet, they can use it to access and spend the tokens you paid for.

Tokenizing the transport industry

Similarly, the mobility industry, which includes public transportation, private vehicles, and bicycles, is ripe for tokenization.

In the early days of the railroad business, there was no such thing as a standard measurement for the rails that were used on railroads. The various rail firms used widths that were different from one another, which made it impossible for their trains to be compatible with one another. As may be seen in the United Kingdom, the variety of train services makes it difficult to purchase tickets and synchronize schedules.

Picture having a single currency that could be used for all modes of transportation, whether public or private. Giving up

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your vehicle's satellite tracking data may earn you credits that may be redeemed for a bus or train journey. You may get rewarded for using a bicycle for a short distance or giving a stranger a ride in your vehicle. No one can tell you how to utilize that credit. After riding your bike and carpooling about town all week, you may opt to spend part of your tokens to pay for a toll road.

Various forms of transportation were used by the same individual at different times in the aforementioned scenarios. This exemplifies the shift in mobility that has taken place during the last fifty years. The days of the typical developed-world family having one or two automobiles and using them exclusively for transportation are over.

The transportation landscape has changed significantly during the 1990s, thanks to a combination of factors, including a growing urban population and a tendency among millennials (a consequence of expensive housing) to put off buying a home or car. There are currently fewer licensed drivers in Great Britain than there were ten years ago, despite a rise in the total number of cars on the road. National Travel Survey data shows that the number of males getting their licenses has dropped precipitously between the ages of 17 and 29. The ways in which millennials travel are more varied than those of earlier generations.

A person who resides in a city may use many transportation systems over the course of a week or even a single day, and each of these activities may be traced back to the individual using the data that the individual generates. The number of individuals using car-sharing services such as DriveNow and Car2Go is rapidly increasing. Consider a young person who lives in a big European metropolis like London or Berlin. When the weather is nice, they could take the bus or ride their bikes to work, and they might enroll in a carpooling scheme to guarantee that they always have access to a

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vehicle for carrying heavy items or taking weekend trips. Instead of driving themselves home late at night or after consuming alcohol, our young person here can hire a cab or employ a ridesharing service such as Uber or Lyft.

The collection of data pertaining to mobility encompasses more than just automobiles. The Internet of Things (IoT), mobile phones, and existent databases maintained by data providers are all additional sources of data generation. Alternatively, a health insurance company may take into consideration a policyholder's annual cycling or walking miles as a measure of their dedication to leading a healthy lifestyle and a method of maintaining lower premiums.

Therefore, a token such as DOVU's mobility-specific DOV currency might be used in several contexts and by both transport companies and passengers, facilitating a true circular economy.

The DOV token, for example, is critical in their system. It is the medium of exchange that will enable the development of a new economic model that will encourage data sharing while linking consumers and data suppliers. To assist their ecosystem flourish in the transportation business, they encourage the use of the DOV token inside it, which increases the token's utility and, as a result, its value to customers.

Imagine a future in which:

- Payments in tokens might be made to the owners of existing datasets to encourage them to release their data for public use;
- Car owners have the option of having their vehicle's navigation system share data about the current state of the road so that it may be used to improve safety for

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other motorists;

- Certain vehicle owners might be incentivized to take a break from driving on certain days of the week by using location data;
- Insurers will be able to make more informed judgments, resulting in lower travel costs for conscientious consumers;
- Analyzing geolocation data from vehicles, bicycles, pedestrians, and public transportation buses might help city authorities make better infrastructure decisions;
- Travel expenses may be more precisely controlled by transportation providers, making it cheaper to utilize their infrastructure when demand is low.

MAJOR BUSINESS MODELS IN DECENTRALIZED FINANCE

The use of blockchain technology on a large scale has the potential to open the door to the establishment of whole new categories of businesses. It also has the potential to decentralize the financial industry, foster innovation, and enable access to services for a larger number of people. Some of these new opportunities are outlined below.

Decentralized currencies

Since the dawn of time, sovereign countries have each maintained their own kind of fiat currency. Up until recently, central institutions were entrusted with the job of maintaining gold reserves, which were used as a foundation for many currencies. In contrast, gold no longer acts as a backing for fiat currencies as in recent years. The value of a country's fiat

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currency is determined only by the degree to which investors have confidence in that nation's economy, government, and central bank.

Bitcoin was the first currency that was produced not by a government, but rather by a decentralized digital network. Bitcoin's supply is limited and cannot be unilaterally raised or reduced, unlike the amount of fiat currency that is generated by central banks. This causes bitcoin to have a deflationary effect. Thanks to the fact that it is a decentralized digital asset, Bitcoin has risen to become the most widely used cryptocurrency as well as the "digital gold" of the blockchain space.

Much like gold, bitcoin is not restricted in how it may be used and can be transferred from one person to another without relying on a bank or any other centralized agency to mediate the transaction. In addition to Bitcoin, there are many more decentralized cryptocurrencies available, including Ethereum, Monero, Dash, and Cardano. These are just a handful of the major ones.

Decentralized payment services

Centralized payment networks such as Visa, PayPal, and SWIFT make it possible to carry out transactions both online and in person, but they might charge high fees sometimes, especially for international money transfers. In spite of the fact that the internet has led to a significant reduction in the cost of many different services, the cost of processing payments still remains relatively high.

Libra and the Bitcoin Lightning Network are two examples of decentralized payment networks that aim to solve the issues with conventional payment systems by providing cheap, quick, and worldwide payments. For example, the Bitcoin Lightning Network facilitates quick, secure, and irreversible monetary transactions for a nominal cost. Because of the

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service's cheap transaction fees, businesses may save expenses and increase profits. Additionally, businesses that are underserved by current payment systems can now take advantage of these low-cost payment options.

Further, if transactions can be made for zero or almost zero cost, this might open the door to new business models (like micropayments) that would not have been conceivable before. Perhaps most surprisingly, the centralized platform Square intends to add Bitcoin Lightning Network support to its payment systems in the near future.

Due to the decentralized nature of blockchain and cryptocurrencies, international payments may be processed quickly and cheaply. To facilitate faster and cheaper international money transfers, Ripple, for example, has partnered with a number of different banks and payment processors.

Decentralized fundraising

Traditional venture financing may be difficult to get funding for since investors are likely to place their trust and financial resources exclusively in businesses that have established strong network ties.

Because of blockchain technology, the fundraising business is going through a period of profound transformation. Initial coin offerings (often known as ICOs) are a prevalent approach that may be used to generate cash in a decentralized manner. An initial coin offering (ICO) is a method of raising money for a project's early development that entails generating a token for the project on a public blockchain and selling it to investors. In recent times, initial coin offerings (ICOs) have emerged as a revolutionary method of funding for start-up enterprises. This method enables company owners and innovators to collect billions of dollars from investors from all over the world.

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An initial coin offering is a promising strategy for establishing network effects and raising funds for a business enterprise. This innovative form of fundraising has the potential to entice investors from all around the globe due to the transparency of the underlying blockchain technology, as well as smart contracts and open source code. It is likely that decentralized fundraising, which makes use of the distributed trust that is made possible by blockchains, will make it easier to raise funds, will enhance access to financing, and will drive the formation of new businesses and innovations.

In addition, an initial coin offering presents a unique means through which projects may enlist the support of relevant stakeholders to get the ball rolling on the establishment of a new ecosystem. When a token can be utilized in the project's commodities or platforms, the value of the initial coin offering may grow as a result. These kinds of tokens are often referred to as utility tokens.

Depending on the nature of the project, certain tokens might be produced that reflect direct ownership or claims on cash flows. Recently, a brand-new form that has been given the name "initial exchange offering" (IEO) has come into existence. In contrast to initial coin offerings (ICOs), initial exchange offerings (IEOs) make use of cryptocurrency exchanges in order to confirm the legality of projects and connect investors with viable companies. During initial exchange offerings (IEOs), cryptocurrency exchanges often do comprehensive due research on new projects, publish in-depth information on projects that seem viable, and lend their reputation to efforts that are of high quality.

Decentralized contracting

To effectively collaborate and do business with one another, it is essential for every company, market, or individual to be bound by a legally enforceable agreement that they must

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comply with. However, because of the amount of time and resources that are required for negotiating, drafting, enforcing, and amending agreements, it may be challenging to manage contracts. The risks of moral hazard and adverse selection hazard, in particular, may make financial contracting more difficult than it needs to be by driving up transaction costs and decreasing the number of available transaction options.

Trading parties have traditionally placed a high level of reliance on financial intermediaries because of their ability to promote trust and reduce transaction costs. The process of entering into financial contracts has become much simpler over the last few years due to the emergence of blockchain technology. This has made it possible for smart contracts to take the place of financial intermediaries and contributed to the expansion of peer-to-peer financial contracting.

The term "smart contract" is used to describe a certain kind of digital contract that is stored on a blockchain and is automatically carried out when specified conditions are satisfied.

A smart contract's transparency, immutability, automation, and programmability make it an appealing instrument for streamlining and cheapening the process of coming to contractual agreements. Contracting on contingencies is likely to become less complicated as a result of the "tamper-proof and automated feature" of programmable decentralized consensus. The scope of what may be contracted is expanded, related costs are reduced, and the process of producing new discoveries and doing business is sped up thanks to the use of smart contracts.

Decentralized platforms like MakerDAO, Compound, and Dharma expedite the process of borrowing and lending money by employing smart contracts. This results in a

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reduction in the amount of time spent as well as fees and paperwork.

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EXAMPLES OF DECENTRALIZED BUSINESS

JOHNSON AND JOHNSON

In addition to the consumer items it produces, such as baby oil and bandages, Johnson & Johnson is also active in the pharmaceutical, diagnostic, and medical device sectors.

Johnson & Johnson is well-known for being a globally decentralized organization. The company has over 130,000 employees located in more than 100 different countries. The choice made by Johnson & Johnson to delegate leadership of the corporation to local management was influenced by a number of reasons, including the following:

- Their knowledge of the customer is superior;
- They have a good understanding of the people with whom they work closely;
- They are aware of the needs of both the state and the market;
- The failure of these individuals will not bring the whole firm to its knees.

Johnson & Johnson is cognizant of the fact that management in the United States would have a difficult time supervising

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operations in other countries, since they do not have sufficient knowledge of the markets in other countries.

EVENTBRITE

Eventbrite is a website that allows users to search for events, organize various events, and promote those events.

The business operates on a decentralized structure, which allows event organizers to double as management because:

- Event organizers also serve as the event's promoters;
- Event organizers are more knowledgeable than Eventbrite on how to engage potential ticket purchasers;
- Given that Eventbrite has development offices all over the world, the firm believes it is best to have regional managers in charge since these individuals are more acquainted with the area and its customers.

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HOW DECENTRALIZED BUSINESS WORKS

The degree to which various organizational systems are decentralized is unclear and may vary significantly from one another. This difficulty of being completely centralized or decentralized is becoming increasingly apparent as an increasing number of organizations adopt practices such as flexible hours, remote working, and fluid management techniques.

The amount of decentralization that is best for a company depends on a number of factors, including its size, culture, and business plan. Businesses that operate under the franchise model, for instance, mix centralized and decentralized management approaches. While higher-ups have a role in matters such as the creation of products and marketing strategies, owners have a bigger influence in hiring employees and managing their shops.

Unlike franchises, where both the franchisor and the franchisee share some of the risks, retail chains are far less likely to decentralize their operations.

Some MNCs (multinational corporations) are structured in a manner that lends them more of the characteristics of decentralized businesses than those of centralized ones when it comes to how they operate. These companies have several different departments, all of which operate independently of each other. Due to the fact that they are so embedded in the typical centralized structure, it is difficult to

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impose a more radical degree of decentralization on a larger scale.

Because it empowers employees to pursue activities that they are genuinely enthusiastic about, decentralization may prove to be quite advantageous to medium-sized organizations. However, as the company grows, it will need to make adjustments in order to maintain operational efficiency and consistency with corporate objectives. Even while a startup may not yet be big enough to support a decentralized organizational structure, it is still advisable to examine the possibilities and make preparations for them in case they materialize in the future.

A decentralized structure, similar to the open office layout of some tech startups, may ignite a blaze of inventiveness and individual responsibility among the members of your crew.

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DECENTRALIZATION AND BLOCKCHAIN

Consider the case of a company that maintains the privacy of its clients' sensitive information on a centralized network of ten thousand servers. Because this company controls the warehouse in which these computers are stored, it has full power over the systems as well as the information that is held on them.

The design does, however, have one single point of potential failure. What would take place if the location suddenly lost power? Imagine for a moment if it was suddenly unable to connect to the internet. What actions would you take in the event that it caught fire? To make matters much worse, what if a malevolent actor could just destroy everything with a few keystrokes? Any of these circumstances will lead to the loss or distortion of that information.

The primary goal of a blockchain is to decentralize the information contained inside a database so that it can be retrieved from several nodes in the system. This not only improves the amount of data that is accessible, but it also protects the integrity of the information by ensuring that even if an attacker were to infiltrate one database node, they would be unable to compromise the data that is stored on the other nodes.

For instance, if someone attempts to manipulate the information in the distributed ledger used by Bitcoin, it is simple to determine which node in the network contains the

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incorrect data. Using this strategy helps to build a clear and accurate chronology of occurrences. The data that is stored in the network can never be altered by a single node thanks to this protection mechanism.

This ensures that the data and history, which includes a record of all bitcoin transactions, will never be lost. The transactions of a cryptocurrency are one type of data that may be recorded in a blockchain. However, the technology can also be used to record other types of data, such as contracts, government IDs, or even a company's assets and product inventory records.

CENTRALIZED VS. DECENTRALIZED BLOCKCHAIN BUSINESS MODELS

Decision-Making/Governance Processes

Companies almost never base their decisions on a vote that receives a majority of the general public's support; rather, they adhere to a stringent chain of command. Companies like Apple and Google adhere to preset rules whenever they make decisions about the approval of new mobile applications, for instance. Because of the way these companies are structured, only a small number of powerful corporate figures have the ability to make this choice, or at the very least, to set the policies and procedures that are required to effectively run the business. Their business models have a strong emphasis on centralization.

Another illustration of this would be the discretion a bank has in determining the daily withdrawal limits for its customers. These limits are adjustable; nevertheless, in order to raise or lower them, one must first go through an authorization process in the bank, which acts as a central authority in this

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regard. Simply said, the nature of their business models exacts a significant amount of control, which, depending on the circumstances, may often impede prospects for innovation.

In decentralized systems, on the other hand, the way decisions are made can be set up to benefit most users, not just the higher-ups in the system. Instead of relying on processes that most centralized follow to evaluate each piece of content individually, decentralized systems point to a new paradigm in which every user on the network might actually have an equal vote to decide what policies or content are allowed or not.

Revenue/ Financial Models

Money is ultimately controlled by a small number of very strong institutions, and this is true even in the case of digital download services. For instance, Apple and Google both use a 70-30 revenue split for mobile app sales, music sales, e-book sales, and sales of other items that are offered on their own platforms. Although developers do get a significant portion of the revenue, it is essential to bear in mind that these companies are financially centralized since they manage every step of the transaction, including the receipt of money and keeping a portion of the profits.

In order to win the support of content creators, decentralized blockchain businesses are emphasizing higher pay for them. Although there may not be a significant increase in the number of people utilizing decentralized app stores just yet, many of these projects provide economic structures that are helpful to content creators. Consider for a second if in a decentralized online store, rather than a 70-30 split, income was divided 99-1. Customers can get services like these from companies like Status and Blockstack.

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Data Storage/Social Media

The need for private and impregnable data storage helps to support the highly centralized organizational structure of organizations. One example of this is the way that Facebook stores individually identifiable information: in centralized databases.

This is one of the reasons why there are no membership fees to join the organization: There is the potential for at least indirect financial benefit from the selling of data obtained through these systems in the form of demographically-based, targeted advertising. This possibility exists because there is a market for this kind of advertising. Information about users, such as their ages and hobbies, is maintained centrally, making it not only convenient to access but also monetizable.

On social media sites that are decentralized, selling data in return for profit from targeted advertisements is not something that happens very often. This is a result of the fact that user data would no longer be owned by social media businesses if they operated on a decentralized business model. As a result of this, people have more control over their own data and have the potential to better protect sensitive information.

However, companies are faced with the challenging problem of building a viable company plan since they do not have access to data that can be used to earn revenue through targeted advertisements. Because of this, it may be necessary to go from a free model to a premium, shared economic model in which businesses get a small portion of the micropayments made by users whenever users pay one another for content production, likes, comments, views, etc. Patrons of decentralized systems, on the other hand, would need to be adaptable and willing to accept changes like this. Examples of this model's usage may be spotted on websites like Steemit.

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WHY DO WE NEED BLOCKCHAIN BUSINESS MODELS?

In and of itself, blockchain represents a ground-breaking innovation in businesses. Because blockchain technology makes it possible for companies to change into decentralized platforms, the operations of such organizations may be impacted as a direct result. It requires a change in the legal entities, transactions, and profits involved, while at the same time preserving expansion.

Since the inception of bitcoin in 2009, blockchain technology and many of the applications it underpins have often been greeted with resounding failure. Some firms' fundamentally flawed business models contributed to the problem, in addition to their process of implementation.

The prevalence of fraudulent Ponzi schemes operating under the guise of genuine blockchain-based enterprises is unfortunately alarmingly high. There are many other models, and they all take advantage of those who are credulous. There is a need for a business model that is built on blockchain technology that will improve the way companies operate and will be beneficial to end consumers from a technological standpoint.

The blockchain-based business model needs to shift its major focus from investors to business owners as its primary target audience. As a result, project managers will place a higher value on practicability than on financial benefit. When it comes to decentralized messaging apps that are backed by blockchain technology, SuchApp is one of the projects that place a priority on practicality. For this reason, it is crucial that business models based on blockchain technology be

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effective on both a global and a local scale, for both the company's own employees and its consumers.

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SHOULD YOU MOVE TO A DECENTRALIZED BUSINESS MODEL?

Those who favor centralization often cite its two key benefits as being increased authority and a relatively easy design. Centralized systems, whether it be an individual product distribution hub or a whole civilization overseen by a central authority, are fraught with hazards. The biggest of these hazards is the formation of a single point of failure, which has the potential to bring the system to an abrupt and total standstill.

On the other hand, decentralized organizations make it possible for a greater number of people — not just a select few — to reap the benefits of those resources. It would be more beneficial for societies if more systems were decentralized and dispersed.

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WHAT CAUSES THE FAILURE OF CENTRALIZED DATABASES AND DATA MANAGEMENT SYSTEMS?

Security
If an outsider or an unauthorized person gets access to the server, the data on it might be changed, destroyed, or created if they get their hands on it. Modern companies have a significant challenge in the form of data fraud, and the corruption or loss of data might have serious repercussions for the bottom line of the organization.

Reliability
If an overwhelming number of users attempt to get the same information from a centralized database at the same time, the server may become unresponsive or crash entirely. Accessing information is both reliable and persistent inside a decentralized system.

Accessibility
In the event that the central database is inaccessible as a result of technical faults, users will not be able to use it. In addition, some customers may find it cumbersome since the processes are the same for all users, despite the fact that each user may have relatively distinctive needs.

Data transfer costs
If users are located in a broad variety of time zones, it may be challenging to keep a server connection that is stable and reliable.

Scalability
Because the capacity of the server limits the amount of traffic

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that can flow across centralized networks, growth is difficult to achieve. Decentralized systems are extremely desirable because of their scalability and resilience to failure brought on by overwhelming demand.

BENEFITS OF THE DECENTRALIZED AND DISTRIBUTED DATABASES

In a system that is decentralized, each of the nodes is responsible for storing their own copy of the shared data; there is no repository that is centrally located for this data. All of the other computers on the network will get a copy of any new information, as well as any changes or deletions that occur on one machine. It is not necessary for the system to have any external regulation or support for it to work. Databases are protected from damage in this scenario, whether the threat comes from hostile actors or individuals who are careless.

Because all of the peers in a decentralized network possess the same information, the network is able to tolerate a very high volume of traffic without being overburdened or disrupted. Because queries are often distributed over several nodes rather than being focused on just one, the burden is distributed among a number of servers. This increases the overall capacity of the network to handle data increases.

In decentralized systems, the work is spread out over a number of different nodes. However, all of the nodes are connected to a central server in a centralized system. In these kinds of configurations, the central server handles all of the data gathering, editing, uploading, and erasing requests that come through. The capacity of the server has a limit, and once that limit has been reached, the server will crash.

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What potential advantages might a decentralized business have?

Decentralization has been shown to increase morale and innovation within companies, as well as the likelihood of increased levels of cooperation and collective expertise. Moreover, this style of leadership inspires perseverance and individuality in those who work for the company. The consulting and software development industries, which depend largely on creativity and innovation, cannot afford to overlook these rewards because of how important they are to their success.

The increased speed with which workers make decisions will lead to improved responses to external stakeholders and more effective dispute resolution. Maintaining open lines of contact with customers and soliciting their input helps to enhance product development, which in turn results in increased investment in research and development and the introduction of new products. Because of their capacity to act quickly, managers are often in a position to make decisions that may help the firm save money.

Societal advantages of decentralized models

Trust

A key advantage of decentralized governance is that it relieves stakeholders of the need to place all of their confidence in a unified system. In today's society, we have developed a level of confidence that allows us to entrust commercial businesses and government organizations with the most private and sensitive information we possess.

On the other hand, there are a few instances dating back to the most recent past in which our trust has been misplaced. Failures may occur in businesses and digital infrastructures. Companies can be purchased or cease to exist, personal information can be sold by social media sites, and online ads

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track your every move.

When using a properly designed decentralized network, however, you can greatly minimize — if not entirely do away with — the need to put your confidence in and depend on other parties to keep your data secure.

Reliability and Sustainability

Recent advancements in digital currency and cryptocurrencies point to the possibility that decentralization might be a workable solution for improving the management of our financial assets. The failure of a single node in a decentralized system does not put the whole system to a halt. In the end, it is irrelevant how many people sign up and quit, since the apps themselves will continue to function normally. The processing responsibilities of a failed node in a network are taken up by the remaining nodes in the network.

Censorship

In an attempt to exert more control over the flow of information regarding activities taking place inside their country, governments often limit the access that citizens have to social media platforms. Peer-to-peer networks, on the other hand, make it more difficult for them to censor content or suppress people's right to free speech.

Open systems and verified owners

Anyone has the potential to develop ground-breaking new products and services by building them on top of decentralized systems. On the other hand, centralized systems are often restricted and provide a limited amount of potential for development. Additionally, ownership may be transferred between different parties in decentralized networks. Those individuals who contribute to the success of a decentralized network are rewarded with rights of ownership or a stake that increases in value in proportion to the worth of the network.

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On the other hand, whenever there is a central body in control of a network, only that entity will gain from the growth of the network.

Decentralization as a game-changer

It is vital to have decentralized and distributed systems in place in order to successfully innovate and disrupt existing social structures. As can be seen in the following, there are now available brand fresh concepts and versions of models of decentralized systems.

Self-sovereign identity

The concept of "self-sovereign identity" is premised on the notion that individuals, as opposed to governmental bodies, should be in control of their own digital identities. This is in contrast to the traditional model, in which governments have this authority. SSI makes it possible for online interactions to be much like those that take place in the real world.

An individual is responsible for their own identification as well as their own digital wallet with SSI. Because of it, each user has full control of all of their own data at all times. After granting access to the use of their data, individuals can monitor an exhaustive log of all past events involving their data. You may now have access to more choices without having to give up your privacy to a database maintained by a third party. Every individual is the only arbiter of their personal identity.

Human centric-solutions

The purpose of the “human-centric solution” is to realize the aim of providing people with meaningful products and services that prioritize them. This approach takes into consideration the thoughts and feelings of the general populace and goes a long way toward resolving the urgent issues that contemporary societies are forced to deal with.

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The end result is a rise in the number of businesses whose primary emphasis is the development of environmentally friendly solutions that provide broad benefits to society.

Privacy by design model

When applied to systems engineering, the idea of "privacy by design" guarantees that private information pertaining to individuals is protected from the very beginning of the development process. As the name suggests, the primary objective of this approach is to advocate for the incorporation of privacy concerns into the design and development of products and services from the get-go, as opposed to incorporating these considerations later on during the rollout of the product or service.

This model is based on a few fundamental ideas, which are as follows:

- Preventative, not remedial
  When it comes to protecting sensitive information, there is a focus on taking preventative measures. Privacy concerns and dangers are anticipated and neutralized before they ever materialize as a problem.

- Privacy as the default setting
  All newly developed firm systems, services, products, and/or operational processes have data protection measures built in from the start. People do not need to take any further precautions to ensure the safety of their information.

- Positive sum
  This is sometimes referred to as a "win-win" in certain circles, and it suggests that all parties involved should feel a sense of safety and security in their interactions. Nobody's right to privacy or safety should ever be put at risk, under any circumstances.

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- End-to-end security
  Stringent security protocols should be in place at the beginning, during the whole of the data's lifespan, and even when it comes time to delete data that is no longer relevant.

- Visibility and transparency
  The technology functions according to a set of specified principles and objectives, both of which are open to independent verification. Everyone involved may rest easy knowing that everything will be completely open and honest.

Web 3.0

The proliferation of decentralized technologies and decentralized business models has made it possible to realize the vision of a more fair and transparent Internet, which was formerly considered a pipe dream. People will have unfettered access to and control of all of their data on a human-centric internet, eliminating the need for any third parties to act as go-betweens.

Marketers and advertisers are currently prepared to shell out billions of dollars to online platforms and vendors of data storage for their services. With the use of Web 3 technology, users are able to provide stakeholders with unrestricted access to their data without having to worry about their information being stolen or sold to a third party. The data will be distributed and decentralized, which will make it very difficult for hackers to get access to it.

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CHALLENGES TO RUNNING A DECENTRALIZED BUSINESS

- Because there is no one set protocol for implementing changes in a decentralized organization, it is possible that the process may take much more time;
- Teams run the risk of becoming disorganized when there is no central authority figure to provide guidance. A reliable reporting system is necessary in order to lessen the severity of this risk;
- One of the unintended consequences of decentralization is the possibility that certain departments' positions may become identical to those of other departments. For example, instead of establishing a centralized team, customer service personnel may be dispersed among a number of different departments;
- When it comes to issues of corporate social responsibility, it is not unheard of for lower-level teams to come to a conclusion that is not well-informed, which would then bring the whole firm into disrepute.

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DO STARTUPS AND ESTABLISHED BUSINESSES BENEFIT FROM DECENTRALIZATION?

Because the hierarchical structures of companies are so deeply ingrained, decentralizing an organization that has been around for a long time may require significant time and work. However, there have been a few organizations that have shown bravery by decentralizing their operations and have seen great outcomes as a result of their efforts. Last but not least, decentralization has the potential to significantly boost morale and competence in such businesses due to the high number of experienced employees who are ready to take on increased leadership responsibilities.

The ideal level of decentralization for an organization will be determined by the size and structure of the business. Some minimal forms of centralization coupled with decentralization could be more beneficial to others.

For instance, the online retailer Zappos uses a method known as holacracy, which does away with conventional hierarchical organizational structures such as managers and titles. However, as detailed in The Atlantic, employees lacked a clear route to progression, which caused them to lose direction and drive. As a consequence, employees started quitting in droves, taking advantage of the buyout option.

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Zappos's trial with holacracy is still in its early stages, so results cannot be determined just yet.

For most companies, establishing and delegating decision-making power to smaller divisions under the supervision of a centralized corporate office may be the best option. For instance, when Unilever expanded, the company decentralized its operations so that its numerous worldwide branches could function as independent businesses and swiftly adjust to changes in the countries in which they operated. However, it has not yet done away with corporate offices and titles completely.

It is never too early to start thinking about how the organization will evolve as the firm grows. Nevertheless, it may be impractical to decentralize much as a startup because of the limited resources available. If you put together a plan before your company expands, you won't have to make any of the challenging decisions that are required for growth until after things have calmed down and new employees have been brought into the company. It is essential to have a thorough understanding of their function in the company before they arrive.

Before making any significant alterations to your company's organizational structure, you should first consider how your business will expand. Consider the ways in which things may develop over the next decade. The ability to properly delegate tasks to others might make you more flexible and receptive to embracing opportunities as they present themselves.

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HOW TO BUILD A DECENTRALIZED ORGANIZATION

If you are in the process of transforming your company's management, you may want to give some thought to applying the following recommendations to build a decentralized corporate structure:

ESTABLISH THE COMPANY VALUES

Defining an organization's guiding principles and culture is the first step in developing a decentralized structure for that organization. The principles of your firm may be supported by having a robust workplace culture, which can also act as a compass for workers who are considered for leadership roles within the organization.

When you are establishing the values of your firm, it is important to keep in mind both the sort of culture you want to promote and the things that are most important to your organization. For instance, a company that sets an emphasis on openness and dialogue may encourage inquiries from customers and employees and be eager to supply them with information about how the firm operates. This kind of company may also place a premium on fostering a sense of community among its employees.

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INCLUDE ALL EMPLOYEES

When using a decentralized management strategy, it is essential to get input from a broad variety of knowledgeable individuals throughout the decision-making process. When making a decision, a decentralized company has the option of forming a committee or consulting with other employees for input. When organizations seek the opinions of all of their employees, who bring a wide range of experience and points of view to the table, the organization may be able to make decisions that are more informed.

PRIORITIZE TRAINING

Making training a primary focus is the most effective way to ensure that all workers are on the same page with regard to the obligations and expectations that are placed on them. With the assistance of training programs that educate them about the culture of the company as well as the management structure, it may be simpler for professionals to adapt to the work environment of a certain business. Participation in continuous training programs has to be required of all employees, not just new hires. Because of this, the company will be able to maintain high levels of employee satisfaction and productivity even while it continues to adapt to innovative business strategies and goes through continual organizational transformation.

DEVELOP A CULTURE OF TEAMWORK

It is essential to cultivate an atmosphere in which collaboration is highly appreciated, since the success of decentralized firms is contingent on the cooperation and trust of the individuals who work for such organizations. For professionals to enhance their decision-making and

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production skills, it is necessary that they learn to work effectively in teams and often seek the opinions of their fellow workers. It is a good idea to conduct events aimed at establishing teamwork and giving opportunities for workers to network with one another in order to cultivate an atmosphere that values collaboration and cooperation.

ENCOURAGE GROWTH

When there are more possibilities for learning and advancement in a given profession, the overall level of production in a decentralized system increases. Rewarding workers for increasing their skill sets and taking on more duties at work may help foster professional growth and development. As a result of this, people who are located at the center of the organization's hierarchy have a greater possibility of being promoted to positions of leadership, where they may have a stronger say in strategic decisions that impact the future of the firm.

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CONCLUSION

In a nutshell, regardless of whether you approve of the movement toward decentralization or not, it has already arrived. Even Mark Zuckerberg, the founder of Facebook, has promised to make certain parts of the company less centralized.

There are many examples of decentralized companies making waves in typically centralized industries, and Bee Token is just one of them in the home-sharing industry. In the end, it's because decentralization offers greater advantages to the people who really utilize the system. When people in the community understand how much better off they would be under decentralized companies, both in terms of safety and economically aligned incentives, they will start demanding this new model.

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ABOUT THE AUTHOR

Daniel Pereira is a Brazilian-Canadian entrepreneur that has been designing and analyzing business models for over 15 years. You can read more about his journey as a Business Model Analyst **here**.



E-mail Daniel if you have any questions at: daniel@businessmodelanalyst.com
You can connect with Daniel at Linkedin: https://www.linkedin.com/in/dpereirabr/

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